Module 8: Product Launch, Growth and Monetisation

Detailed supplement: product-market fit in practice, MVP and experiments, the expansion grid, product-led growth and pricing



Written by Varun Kumar, for SkillNavora · Draft

Official site: www.skillnavora.in

Prepared for Skillnavora — Learn. Practise. Implement. Grow.

MODULE 8 · HOW TO USE THIS SUPPLEMENT

Coverage map: what is new and what is already in the module

The main Module 8 handbook already covers product-led growth, growth loops, pricing and A/B testing in depth. This supplement adds what the Week 8 deck teaches on top: the four PMF definitions, MVP hypotheses, the experiment steps, the expansion grid with its exercise, distribution channels, and the revenue and pricing models with exercises.

Topic (Week 8 deck)	Handbook section	Status here
Product-market fit: four definitions	8.x (partial)	New: four leaders' definitions, compared
PMF signals: retention, referral, waiting list	8.x	Extended: how to read each signal
MVP definition and incremental development	8.x	Extended: the learning-per-effort test
Defining an MVP from hypotheses	—	New: problem-market and problem-solution hypotheses
Correlation versus causation	—	New: why a correlation is not a cause
A/B experiment steps: sample, groups, sanity test	8.x (A/B section)	Extended: the five steps in order
Product/market expansion grid	8.x (partial)	New: four quadrants, worked example, exercise
Distribution channels and early customers	8.x (partial)	New: direct, ecosystem, partnerships
PLG journey and growth flywheel	8.x	Extended: the B2B SaaS journey example
Revenue models (transaction, subscription, ads, data)	8.x (partial)	New: a comparison table and a choice test
Pricing models (value, good-better-best, dynamic and others)	8.x	Extended: seven models in one table

NOTE ON THE SOURCE

Figures such as the example retention and discount numbers are teaching examples from the deck. They are not company results. Check current pricing on each company's page before you quote it.

NEW · PRODUCT-MARKET FIT

Four definitions of PMF, and what each one asks

Four well-known founders and investors define product-market fit in different words. Read them side by side, then ask which one your product can test this month.

Who (as cited in the deck)	Definition in short	Question to ask
Andy Rachleff	A compelling value hypothesis: the product solves a problem people will pay to solve.	What is the value hypothesis, in one sentence?
Paul Graham	You build something people want. Find a 'deep well': a small set of users who love it.	Who is in the deep well?
Ash Maurya	The right solution to a problem that is worth solving. Check problem-market fit, then problem-solution fit.	Do we have a problem worth solving, and does our solution fit it?
Sam Altman	Users love the product so much they tell other people to use it.	Are users referring others without being asked?



Fit in three steps

Signals that PMF is forming

- Flat retention curves for some cohorts (users stay).
- A high net promoter score and a high viral coefficient (users refer others).
- A long waiting list, or demand you cannot serve.

WATCH OUT

PMF is found in a segment, not across everyone. A product can have strong fit with one small group and weak fit with the rest.

NEW · MVP AND HYPOTHESES

Build the least that teaches the most

An MVP is the version of a product that lets you learn the most for the least effort. Incremental development waits for feedback until a final product is ready, which may or may not work. An MVP tests the core hypothesis early.

Define the MVP from hypotheses

1. List the hypotheses that must be true for the product to work.
2. Include both problem-market fit (do people have this problem?) and problem-solution fit (does our answer solve it?).
3. For each hypothesis, pick the cheapest test that could prove it wrong.
4. Build only what the cheapest tests need.

Deck example (Swiggy, AI recommendations): the team wants a system that suggests what users should order when they cannot decide. The first hypothesis is whether users really struggle with ordering, and how bad the problem is. A cheap test uses data: the change in average time to order, measured in a small group.

NEW · EXPERIMENTS

Correlation, causation and a clean A/B test

Two things can move together without one causing the other. An A/B test is the usual way to check causation: random groups, one change, and one outcome you measured in advance.

1. **Form a hypothesis:** a causal statement, such as 'showing a discount to new restaurants raises first orders'.
2. **Set the sample size:** run the test on a small share of users, to limit exposure to a bad change.
3. **Create random groups:** a treatment group and a control group, with no bias in who lands where.
4. **Run a sanity test:** deliver a change you know should not move the metric, and check that it does not.
5. **Analyse and decide:** compare the outcome, extract what you learned, and decide what to do next.

EXERCISE (DECK)

Design an experiment to decide whether a new discount code for new or unlisted restaurants should be launched. Write the hypothesis, the groups, the outcome metric, the guardrail, and the decision rule before you run anything.

EXTENDED · EXPANSION

The product and market expansion grid

The grid asks two questions: is the product new or existing, and is the market new or existing? The answer gives four strategies. Each one carries a different risk.



The product and market expansion grid

Deck example: Facebook started as a social network for Harvard students. It grew by first filling its home market, then moving into new markets, then adding new products on top of its user base.

EXERCISE (DECK)

Urban Company offers expert home services. Use the grid to chart three moves: deepen the current service, add a new service for current customers, and enter a new city. Which move carries the least risk, and why?

NEW · DISTRIBUTION

Channels and how to win early customers

Channel	What it means	Example from the deck
Direct	The company controls the whole sale and delivery process	Own app and own sales team
Ecosystem	Reach customers through a platform you plug into	Integrations inside a larger tool
Partnerships	Share distribution with another company	A bank or retailer offers your product to its customers

Early customers differ by product type. Consumer products are won through communities, referrals and content. B2B products are won through a few well-chosen accounts, pilots and case studies. Pick the channel where your first 100 customers already spend time.

EXTENDED · PRODUCT-LED GROWTH

PLG: self-serve entry, loops and a flywheel

In product-led growth, users sign up and start without talking to sales. The product delivers value quickly and clearly, and growth comes from the product itself.



A PLG growth loop: sign up, value, invite, return

Idea	What it means	How to measure it
Self-serve entry	Sign up and start without a sales call	Share of accounts that start on their own
Fast time to value	The first useful result comes quickly	Time from sign-up to first value moment
Growth loop	Each user's action brings in the next user	Viral coefficient and loop cycle time
Growth flywheel	Several loops feed each other	Retention and referrals together

The deck's B2B SaaS example: support can be mostly self-serve, which cuts ticket volume and frees the team for proactive, real-time help. PLG also aligns functions, because every team works through the product to win growth.

EXTENDED · REVENUE AND PRICING

Revenue models, pricing models, and how to choose

A revenue model is how the business earns money. A pricing model is how much it charges and why. The deck groups revenue models into four families.

Family	How it earns	Example (deck)
Transaction	A fee or a percentage on each transaction, or direct sales	Marketplace commission
Subscription	A fixed recurring fee for access	Monthly plan
Ads	Advertisers pay per click or per view	Cost per click in search or maps
Data and API	Licensing datasets or charging for API access	Aggregated data, or per-call API fees

Seven pricing models

Model	When to use it
Value-based	Price by the value the customer sees, not by cost
Good-better-best	Several versions at different prices, with different limits
Cost-based	Cost plus a margin; common in physical goods
Competitive	Price against what similar products charge
Psychological	Use price cues such as charm pricing and anchoring
Dynamic	Change prices in real time on market factors
Pay-what-you-want	Let customers choose the price, within limits



Illustrative fit scores, not market data

Choosing: start with the value the customer gets, then the segment that will pay for it, then the model that fits how the value is delivered. The deck's exercise asks you to map a product's users to a revenue model and give a reason for each.

ASSIGNMENTS

Two growth and monetisation briefs

Break-out: Swiggy product-led growth

List the product-led growth moves Swiggy could make. Include at least one growth loop and one flywheel. For each, name the metric it moves.

Take-home: Airbnb's end-to-end travel platform

Airbnb wants to build an end-to-end travel platform: accommodation, local experiences and trip planning. Write a launch plan: the first segment, the MVP hypotheses, the channel, the revenue model, and one pricing model with its reason.

SELF-CHECK

Is each hypothesis testable? Does the revenue model match the value? Did you name a guardrail for growth?

Quiz with answers

1. Which definition of PMF says users tell other people to use the product?
   Answer: Sam Altman's definition, as cited in the deck.
2. What is the difference between problem-market fit and problem-solution fit?
   Answer: problem-market fit asks whether the problem is real and worth solving; problem-solution fit asks whether your answer solves it.
3. Why run a sanity test before an A/B test?
   Answer: a change that should not move the metric shows whether the test setup itself is sound.
4. In the expansion grid, what is diversification?
   Answer: a new product for a new market.
5. Which revenue family earns from ads?
   Answer: ads, for example cost per click.

MODULE 8 · FINAL

Completion checklist

Completion checklist

Done	Item
☐	Read the coverage map
☐	Wrote the four PMF definitions in your own words
☐	Defined an MVP from two hypotheses
☐	Designed one A/B test with a sanity check
☐	Placed one product on the expansion grid
☐	Chose a revenue model and a pricing model with reasons